

Nepal Logistics Compliance Manual

Statutory Regulations, Licensing, and Operational Directives for Freight & Logistics

OFFICIAL REFERENCE

Commercial logistics entities operating in the Federal Democratic Republic of Nepal—including freight forwarders, third-party logistics (3PL) providers, bonded warehouse operators, and fleet haulers—are governed by primary acts, Department of Customs mandates, and international transit treaties.

1. GOVERNING STATUTORY ACTS & INTERNATIONAL TREATIES

Motor Vehicles Act, 2049 Administered by DoTM; governs commercial fleet registration, road route permits, gross vehicle weights, and carrier third-party liabilities.	Customs Act, 2064 Governs ASYCUDA World declarations, bonded customs warehousing, EXIM code registration, clearance procedures, and broker sanctions.	Nepal-India Transit Treaty Governs maritime transit of third-country cargo via Kolkata, Haldia, and Visakhapatnam to Nepal border dry ports (ICDs/ICPs).
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2. STEP-BY-STEP LICENSING & CORPORATE SETUP SEQUENCE

Step 1	Office of the Company Registrar (OCR) Registration Incorporate under the Companies Act, 2063. The Memorandum of Association (MOA) and Articles of Association (AOA) must explicitly state carriage, freight forwarding, customs clearance, or warehousing objectives.
Step 2	Local Government & Ward Business Permit Obtain mandatory operating certification from the designated Metropolitan/Sub-metropolitan/Municipality Ward Office where corporate headquarters, transfer hubs, or terminals reside.
Step 3	Inland Revenue Department (IRD) - PAN & VAT Obtain corporate PAN and compulsory 13% Value Added Tax (VAT) registration for all commercial freight, haulage, handling, and logistics advisory activities.
Step 4	EXIM Code & NEFFA Affiliation Obtain an Export-Import (EXIM) Code from the Department of Customs with a mandatory NPR 300,000 commercial bank guarantee. Secure affiliation with the Nepal Freight Forwarders Association (NEFFA).

Regulatory Authority Clarification Logistics and freight forwarding companies in Nepal are regulated by the Ministry of Physical Infrastructure and Transport (DoTM) , Department of Customs (Ministry of Finance) , and Ministry of Industry, Commerce and Supplies . Neither the Reserve Bank of India (RBI) nor Nepal Rastra Bank (NRB) govern logistics operations, with the exception of standard foreign exchange repatriation directives for international freight settling.
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Fleet Standards & Customs Transit Regulations

Department of Transport Management (DoTM) & Department of Customs Directives

TECHNICAL DIRECTIVES

3. ROAD CARRIAGE, AXLE LOAD & VEHICLE LIMITS

The Department of Transport Management (DoTM) strictly enforces gross vehicle weight (GVW) limits across Nepal's national highway grid to preserve pavement integrity and mountain bridge engineering tolerances.

Vehicle Type / Configuration	Wheel / Axle Count	Max Gross Weight (GVW)	Regulatory Compliance Mandate
Medium Commercial Truck	2 Axles / 6 Wheels	16.20 Metric Tonnes	Must hold provincial route permit; periodic weigh-bridge verification.
Heavy Rigid Hauler	3 Axles / 10 Wheels	25.00 Metric Tonnes	Requires mechanical fitness certificate renewed bi-annually.
Multi-Axle Semi-Trailer	4+ Axles / 14+ Wheels	35.00 – 44.00 Tonnes	Subject to highway bridge permits and designated transit routes.
Containerized Prime Mover	Articulated (20/40 ft)	Strict Tare + Cargo Cap	Mandatory twist-locks and rear underrun protective systems (RUPS).

4. CROSS-BORDER CUSTOMS & ELECTRONIC CARGO TRACKING (ECTS)

- Electronic Cargo Tracking System (ECTS):** All third-country maritime containers routed through Kolkata, Haldia, or Visakhapatnam to Birgunj/Chobhar dry ports must maintain active GPS/GSM-enabled electronic seals. Tampering or route diversion leads to asset seizure and blacklisting under the Customs Act.
- ASYCUDA World Manifest Lodgement:** International forwarders and agents must electronically file cargo manifests (Customs Declaration Form) before arrival at entry Integrated Check Posts (ICPs) at Birgunj, Biratnagar, Bhairahawa, or Nepalgunj.
- Harmonized System (HS) Classification Liability:** Misdeclaration of tariff codes, cargo weight, or invoice value triggers statutory penalties under Section 57 of the Customs Act, ranging from 10% to 50% of the calculated duty differential.
- Customs Agent (Bhansar Karyakarta) Licensing:** Only individuals or entities holding an authentic agent license issued under Section 51 of the Customs Rules are legally permitted to represent importers/exporters in clearance bays.

Inland Container Depot (ICD) Transshipment Note

Containerized transit freight transported via Indian Railways directly into the Birgunj Inland Container Depot operates under simplified transit declarations. Border inspections are minimized when ECTS seals verify unbroken chain-of-custody from the dispatch port.

5. AIR CARGO DIRECTIVES (CIVIL AVIATION AUTHORITY OF NEPAL - CAAN)

- Regulated Agent (RA) Certification:** Forwarders managing international air freight at Tribhuvan International Airport (TIA) or Gautam Buddha International Airport (GBIA) must hold RA certification under CAAN Aviation Security Directives.
- Dangerous Goods Regulations (DGR):** All cargo handling teams must undergo IATA-accredited DGR training. Lithium batteries, volatile chemicals, and magnetic goods require verified Material Safety Data Sheets (MSDS) and specialized packaging.
- Terminal Security:** Minimum 100% dual-view X-ray cargo inspection with digital CCTV archives maintained for 90 days.

6. LABOR LAW & WAREHOUSE SAFETY STANDARDS

Logistics hubs, sorting centers, and freight depots must adhere to the **Labor Act, 2074 (2017)** and **Social Security Act, 2074:**

- Working Hours & Overtime:** Maximum 8 hours per shift / 48 hours per week. Overtime capped at 24 hours per week paid at 150% of the standard hourly rate.
- Social Security Fund (SSF):** Mandatory statutory enrollment of all formal, outsourced, and contractual logistics handlers (31% monthly gross wage contribution: 20% employer, 11% employee).
- Warehouse Structural Safety:** Clear forklift aisles (minimum 2.5 meters), industrial fire suppression systems, class-appropriate dry powder extinguishers, and emergency illuminated exits verified by municipal fire authorities.

7. MANDATORY INSURANCE & LIABILITY FRAMEWORK

Insurance Type	Statutory Governing Basis	Mandated Coverage Scope
Third-Party Motor Liability	Motor Vehicles Act, 2049	Covers third-party injury, fatality, and third-party property damage resulting from commercial vehicle transit.
Carrier's Legal Liability (CLL)	Contract Act, 2056 & Carrier Law	Protects logistics operators against consignee claims arising from negligence, vehicle rollover, collision, or cargo theft.
Workplace Injury Insurance	Labor Act, 2074 (Section 55)	Mandatory medical expenses and compensation coverage for warehouse personnel handling heavy machinery and loads.
Marine / Transit Insurance	INCOTERMS / Commercial Contracts	Underwritten by national insurance firms to safeguard transit freight against total loss, water damage, and jettison.